

The exhibit below shows the result of this exercise for a company which is expected to generate 35 per cent ROCE consistently over the next twenty years while reinvesting 70 per cent of its operating cash flows back into the business. Even if the P/E multiple of such a company is fifty times today and de-rates gradually to twenty times, i.e. close to the market average P/E, over the next twenty years, investors buying the company's shares today will realize a healthy 19.5 per cent CAGR in Total Shareholder Returns over the next twenty years.